

HOW IT WORKS: AN ACCEPTABLE BUDGET

Now let's take a look at someone who is being more responsible with their money. Tamara is Trinity's twin sister, and wouldn't you know it, she has the exact same job and salary as Trinity. Table 4.4 shows her monthly budget on her \$85,000-a-year salary.

Table 4.4. Tamara's acceptable budget

Monthly take-home pay after taxes	\$4,980
Rent (splits an apartment with a roommate)	\$1,250
Transportation	\$300
Food	\$790
Utilities	\$100
Entertainment	\$800
Miscellaneous	\$200
Savings/retirement	\$800
Gym membership	\$40
Student debt	\$700

For me, the first thing that jumps out is that she is spending \$800 per month on entertainment. That means she is doing something fun every weekend. If there is a concert, she goes; fun weekend trip, she's there; random invitation to a sporting event, she's got tickets. While I think she should put more of that money into other things, especially savings if she wants to buy a house eventually, I have no problem with it.

The biggest difference between Tamara and Trinity is that Tamara spends \$1,300 less every month on housing and